

Hurdles and Strategies for Favorable Builder's Risk Claims Outcomes



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Builder's Risk Insurance 101

- Insures **damage to project work and materials** during construction
- **First party coverage** intended to position an insured as if loss didn't occur
- Many stakeholders
 - Owner/Developer
 - Lender
 - General Contractor
 - Subcontractors / lower-tier subcontractors
- Policies are manuscript (non-standard)
 - Every construction project is unique
- "The devil is in the detail"
 - Read and understand policy terms & conditions
 - Contractual obligations



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2023 Builder's Risk Market

Minimum rate increases \$\$	↓
Many large projects (\$1B+)	↔
Poor loss prevention & history of claims = poor market results	↓
Frame & CAT-exposed capacity challenged	↓
Florida & California	↓
Focus on risk mitigation, particularly around water	↔
Non-combustible appetite still strong	↑
Master Builder's Risk insureds can access capacity	↑



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Nuances to Coverage

- Owner or General Contractor Purchase
- Master Program vs. Project-Specific Purchase
- Who is included in the definition of insured?
- Project type (wood frame / joisted masonry / mass timber / non-combustible)
- Sub-limited coverages (e.g., water damage, mold remediation)
- Coverage enhancements (e.g., LEG3, Soft Costs)



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Owner vs. GC Builder's Risk Purchase



Align goals of all stakeholders

Consideration of contractual and lender requirements

Each stakeholder's exposure to loss

Collaboration =
most effective solution



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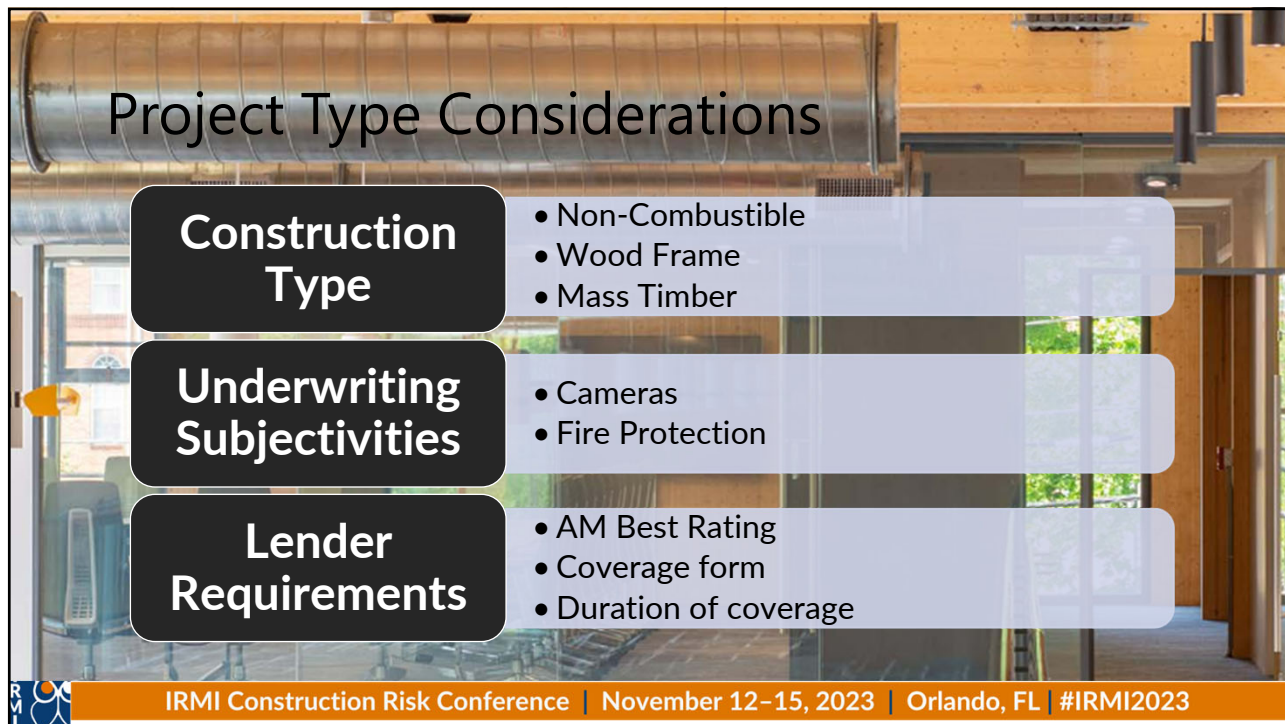
Master Builder's Risk vs Project-Specific

MBR Advantages	MBR Disadvantages	Project-Specific Advantages	Project-Specific Disadvantages
• Off-the-shelf pricing, terms, and conditions • Easy enrollment • Reduced underwriting requirement • Reporting form or Certificate • Locked-in rates for policy term • Can still cover soft costs	• Single carrier option • Reporting form may not meet lender requirement • Less customization • May have limited overall capacity (+/- \$300M) • Limited capacity • Soft costs • Frame • High-hazard CAT	• Market rate at time of purchase • Highly-customizable • Compete carriers for best offering	• Market rate at time of purchase • Full underwriting required • May have less leverage with carrier in case of claim dispute



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Project Type Considerations



Construction Type	• Non-Combustible • Wood Frame • Mass Timber
Underwriting Subjectivities	• Cameras • Fire Protection
Lender Requirements	• AM Best Rating • Coverage form • Duration of coverage

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Underwriting & Contract Decisions

<u>Policy Decisions</u> • Who is an “Insured” • Waiver of Subrogation • Deductible • Minimum deductibles are increasing • Water Damage deductible • Permission to Occupy • Loss Payee(s) • Coverage for Contractor’s extended General Conditions	<u>Contract Decisions</u> • When is coverage terminated? • Deductible cap • Contractual waiver of subrogation • Who collects the claim payment? • What coverages are required by contract?
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Watch for Sublimited Coverages

CAT Exposures	Property Away From the Project	Claim Response	Time Element Coverages	Rebuilding Costs
• Earthquake • Flood • Named Windstorm	• Property in Transit • Property stored or otherwise temporarily offsite	• Pollution clean-up including fungus/mold remediation • Debris removal • Leak search costs	• Expediting expense • Extra expense • Delay damages (e.g., loss of rental, income, soft costs, delay in start up)	• Ordinance or Law • Plans, drawings, and documents



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Builder's Risk Claims Challenges

- Timing and Nature of Loss
- Gradual vs. Sudden and Accidental
- Water Intrusion
- Proving Faulty Workmanship



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Proving the Loss



Document damage to project work

- Photos
- Videos
- Notations on drawings
- Eyewitness reports



Provide documentation

- Schedules
- Drawings
- Photos
- Budgets



Time element

- Business Interruption
- Soft Costs
- Delay in Start Up
- BI worksheet **BEFORE** the project starts



Requests for information from adjusting firms

- Historical data
- Post-loss data



Subrogation data

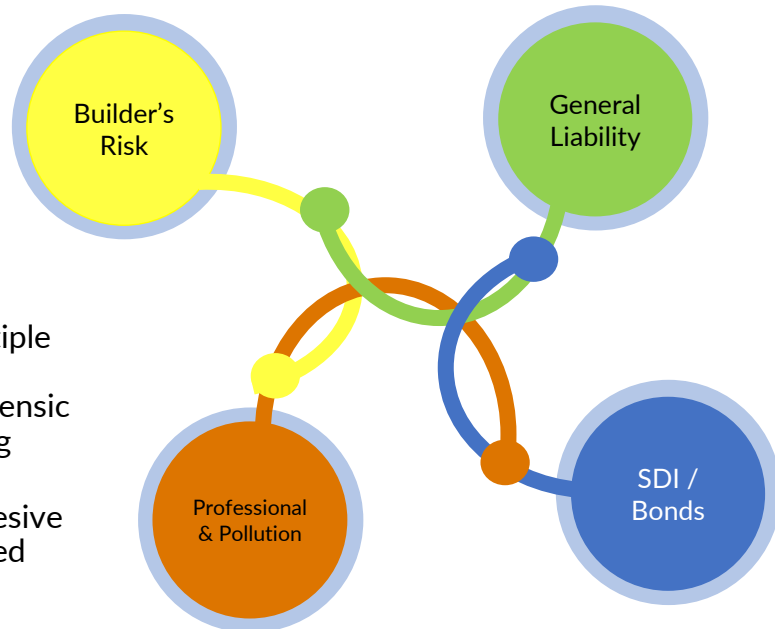
- Contracts
- Insurance certificates



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Intersection of Coverages & Involvement of Stakeholders

- Quota share programs
- Other scenarios with multiple claim professionals and stakeholders including forensic accountants, loss adjusting firms, etc.
- Deploy strategies for cohesive claim process in a "crowded kitchen"



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Best Practices for Builder's Risk Claims



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Intersection of Claim Management with Coverage Litigation

- Alternative dispute resolution, by choice or as dictated by policy language
- Timing and process for engaging counsel



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